

SUBIR HALDER



Access code: An insurance camp at a West Bengal village

advantages of allowing the depositors to benefit from the arbitrage between the savings account rates and money market mutual fund returns, removed the savings rate ceiling and allowed banks to offer money market accounts in the '80s.

► Let there be cards. India has yet to tackle the issue of providing national identity cards, which would offer one solution to the KYC dilemma. We have much to learn from countries like Pakistan, where the National Database and Registration Authority provides computerised national identity cards. These cards can be leveraged by government and private service providers, including banks and microfinance institutions. For India, a more direct and immediate way of dealing with the problem related to identity proofs would be to abandon all other card issuance plans and aggressively push through the PAN card, since it is accepted as KYC documentation by all the financial service regulators and has a well-established issuance process. We should also try to build a biometric identifier on the card that can be used by a variety of service providers and allows even illiterate savers to benefit from secure transactions.

► Let there be a credit bureau. At present, the formal financial system is almost blind to individual credit histories. Development of a credit bureau combined with a proper identity system allows individuals to build credit histories over time, permitting registered lenders to access an individual's credit score and enabling reliable payers to get credit on better terms and lower interest rates. Experiences from countries like Peru

and Bolivia show that increased penetration of credit bureau systems led to significant improvements in lending practices for the poor and in graduation to formal sector lending.

Even though it is entirely appropriate for national policymakers to seek to balance greater financial inclusion with ensuring customer protection and systemic stability, these steps are well-tried and tested and pose no threat to systemic stability. They could enhance it, as the reach of the formal financial system extends deeper into the rural hinterland and the slums of Mumbai. The real question is: can we truly afford to leave the current system in place when we know that the majority pay usurious rates for credit from informal sources, place their savings in risky informal mechanisms, and face catastrophic events without any insurance, when obvious solutions are staring at us? The choice is between taking a few measured steps to increase inclusion and allowing existing informal mechanisms to rule the financial lives of India's unserved majority. We have repeatedly expressed our concern for the financially excluded, but there is so much that we can immediately do to facilitate a rapid movement towards Universal Financial Inclusion that there is no reason for not acting. Unless, and we must face this reality, we are not really serious about financial inclusion.

with Joy Miller and Suyash Rai

Panning Out Problems

A MAJORITY OF US PAY USURIOUS RATES FOR CREDIT FROM INFORMAL SOURCES, PLACE SAVINGS IN RISKY INFORMAL MECHANISMS. THE REAL QUESTION IN SUCH A SITUATION IS, CAN WE AFFORD TO LEAVE THE CURRENT SYSTEM IN PLACE?

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